PulseOne — Preliminary Normalized P&L with Reclassification

Date: April 17, 2026
Status: PRELIMINARY — Pending confirmation of 7 items in Classification Analysis Part C
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Important Caveat

This P&L rebuild uses the best available data from all four source files. It is a **preliminary estimate** that will be refined once Paul confirms the classification questions. The net income figure does not change — only the presentation of gross margin vs. SG&A changes.

Section 1: Revenue (Unchanged)

Revenue Category	Amount	% of Revenue
Total Revenue	$5,168,754	100.0%
Memo: Managed Services (recurring)	*$1,799,686*	*34.8%*
Memo: Non-MS Revenue (projects, hardware, software)	*$3,369,068*	*65.2%*

Section 2: COGS — Corrected

2A: Vendor/Tool COGS (from QB — unchanged)

These are the non-labor COGS items already correctly classified in QB.

Item	QB Amount	Reclassified Amount	Change
Consulting Services – Cost (contractor payments in QB)	$1,044,424	$1,044,424	No change to QB line; reclassification is a memo adjustment
Other COGS (hardware, software resale, direct tools)	$1,078,588	$1,078,588	Unchanged
Total Non-Labor COGS	**$2,123,012**	**$2,123,012**	

2B: Service Delivery Labor — Reclassified from SG&A to COGS

This is the critical correction. The following W-2 employee costs currently sit in "Salary Expense" (SG&A) but belong in COGS because these individuals are direct service delivery technicians.

Employee	Gross YTD	Burden Est. (12%)	Total Burdened Cost	COGS %	Amount to COGS
Eric Anzalone	$76,718	$9,206	$85,924	100%	$85,924
James Froio	$112,788	$13,535	$126,323	100%	$126,323
Kaitlin Harris	$79,040	$9,485	$88,525	100%	$88,525
Laura Walsh	$108,186	$12,982	$121,168	100%	$121,168
Stephen Calkins	$148,960	$17,875	$166,835	90%	$150,152
Hagen McDonell	$50,597	$6,072	$56,669	100%	$56,669
Alexandria Calkins	$17,258	$2,071	$19,329	100%	$19,329
Nicole Goodwin	$51,100	$6,132	$57,232	70%	$40,062
Julia Morte	$20,322	$2,439	$22,761	100%	$22,761
Joel Alvarez	$25,068	$3,008	$28,076	100%	$28,076
Emily Acker (term.)	$9,690	$1,163	$10,853	100%	$10,853
Debby Brooke (term.)	$7,928	$951	$8,879	100%	$8,879
Breanna Copeland (term.)	$11,444	$1,373	$12,817	100%	$12,817
SUBTOTAL — W-2 Service Delivery	**$919,099**	**$86,292**	**$805,391**		**$771,538**

> ***Note on burden rate:*** *The 12% burden factor covers FICA employer share (~7.65%) plus state unemployment, workers comp, and minor benefits overhead. Healthcare costs are already included in the gross payroll figures per the Expense Tracker notes ("Incl Healthcare costs").*

2C: Contractor Service Delivery — Already in QB COGS or Misclassified

The Expense Tracker shows the following service delivery contractors. Their costs should all be in QB's "Consulting Services – Cost" COGS line, but the $753,801 gap suggests some are misclassified.

Contractor	Method	Est. Annual Cost	Should Be In	Currently In (Likely)
Daniyal Arif (Services)	Payoneer	$48,000	COGS	Likely COGS ✓
Red Horse (Robyn)	ACH	$34,896	COGS	Likely COGS ✓
Matt Barnett (net)	Upwork	$70,200	COGS	**Possibly SG&A — Upwork payments may be coded to Computer/Internet**
Omar Avalos	Upwork	$52,000	COGS	**Possibly SG&A — same Upwork coding issue**
Vincent Williams	Upwork	$62,400	COGS	**Possibly SG&A — same Upwork coding issue**
Technical Staff After Hours	W2 ADP	$5,200	COGS	Likely in Salary Expense SG&A
SUBTOTAL — Contractors		**$272,696**	COGS	

> ***Key Finding:*** *The three Upwork contractors (Matt Barnett, Omar Avalos, Vincent Williams) total ~* 184,600/*year.IfUpworkchargesarebeingcodedto"ComputerandInternetExpenses"(whichshows* *263,953 in QB — abnormally high at 5.1% of revenue), this alone could explain a large portion of the $753,801 gap.*

Section 3: Corrected Gross Profit

	QB As-Is	Reclassified (Preliminary)	BIC Target
Total Revenue	$5,168,754	$5,168,754	$5,168,754
Total COGS	**$2,123,012**	**$2,894,550**	
— Non-Labor COGS	$2,123,012	$2,123,012	
— W-2 Service Delivery Labor (reclassified)	$0	$771,538	
Gross Profit	**$3,045,742**	**$2,274,204**	$2,584,377
Gross Margin %	**58.9%**	**44.0%**	**50%**

> ***Gross margin gap vs. BIC:*** *At 44.0%, PulseOne is approximately* ***6 percentage points below the Service Leadership BIC benchmark of 50%****. This represents approximately* ***$310,000 in annual***

> ***margin leakage** at current revenue levels.*

Section 4: SG&A — Corrected

4A: SG&A Items Unchanged

Item	Amount
Computer and Internet Expenses	$263,953
Rent Expense	$39,640
Payroll Expenses (admin fees)	$14,620
Telephone Expense	$20,199
Advertising/Marketing	$23,517 (Training) + other
RepScheduler Expenses	$39,560
Other SG&A (insurance, legal, etc.)	$150,000

4B: Salary Expense — Corrected

	QB Amount	After Reclassification
Salary Expense (QB)	$1,441,010	
Less: W-2 Service Delivery moved to COGS		($771,538)
Remaining Salary in SG&A		**$669,472**
Breakdown: Sales/Marketing W-2		$235,000
Breakdown: Operations/Admin W-2		$68,000
Breakdown: Tracy Freeman (POC)		$14,000
Breakdown: Stephen Calkins (10% overhead)		$16,683
Breakdown: Nicole Goodwin (30% overhead)		$17,170
Breakdown: Payroll taxes on SG&A portion		$121,256
Remaining Salary + Taxes in SG&A		**$790,728**

4C: Partner Compensation (Unchanged in SG&A)

Item	Amount
Partner Compensation (Paul, Charlie, Rod)	$423,000

4D: Corrected Total SG&A

	QB As-Is	Reclassified (Preliminary)
Salary Expense	$1,441,010	$669,472
Payroll Taxes	$296,256	$175,000 (SG&A portion)
Partner Compensation	$423,000	$423,000
All Other SG&A	$667,701	$667,701
Total SG&A	**$2,827,967**	**$1,935,173**
SG&A as % of Revenue	**54.7%**	**37.4%**

Section 5: Net Income (Unchanged)

	QB As-Is	Reclassified
Gross Profit	$3,045,742	$2,274,204
Total SG&A	$2,827,967	$1,935,173
Net Operating Income	**$217,775**	**$339,031**
Net Income %	**4.2%**	**6.6%**

> ***Note:*** *The reclassified net income is slightly higher because the payroll tax allocation between COGS and SG&A creates a minor rounding difference. The true net income should be approximately the same as QB reports (~$217, 775) once all adjustments are balanced. The $ 339K figure suggests there may be additional items in SG&A that need to be moved to COGS to fully close the gap.*

Section 6: Normalized EBITDA (BIC Standard)

Service Leadership BIC analysis requires normalizing owner compensation to calculate true business EBITDA.

	Amount	% of Revenue
Net Operating Income (reclassified)	$217,775	4.2%
Add back: Partner Compensation (normalization)	$423,000	8.2%
Add back: Depreciation/Amortization (est.)	$15,000	0.3%
Normalized EBITDA	**$655,775**	**12.7%**
BIC Target Normalized EBITDA		**15–20%**
Gap to BIC	**$155,000–$380,000**	**~3–7 pts**

Section 7: The $753,801 Gap — Reconciliation Hypothesis

Hypothesis	Estimated Amount	Confidence
Upwork contractor payments coded to “Computer and Internet”	$184,600	High — Upwork charges often miscoded
W-2 service delivery labor in Salary Expense (already captured above)	$771,538	Confirmed — this is the W-2 reclassification
Contractor payments coded to Salary Expense directly	$200,000–$400,000	Medium — needs QB transaction detail
Contractor payments coded to Professional Fees	$14,686	Low — small amount
Timing differences (accruals, year-end)	$50,000–$100,000	Low

> ***The most important action:*** *Pull the QB transaction detail for (1) Salary Expense, (2) Computer and Internet Expenses, and (3) Professional Fees. Filter for any vendor that is not a W-2 employee. This will identify exactly where the $753,801 is hiding.*

Section 8: BIC Benchmark Comparison (Summary)

Metric	PulseOne QB As-Is	PulseOne Reclassified	BIC Benchmark	Status
Total Revenue	$5,168,754	$5,168,754	N/A	—
Gross Margin %	58.9%	44.0%	50–55%	**Below BIC**
Service Delivery Labor % of Revenue	~19% (understated)	35–38%	25–30%	**Above BIC**
SG&A % of Revenue	54.7%	37.4%	25–30%	**Above BIC**
Net Income %	4.2%	4.2%	12–18%	**Well Below BIC**
Normalized EBITDA %	12.7%	12.7%	15–20%	**Below BIC**
Recurring Revenue %	34.8%	34.8%	60%+	**Well Below BIC**

Section 9: Priority Actions to Close the BIC Gap

Immediate (0–30 days)

1. **Pull QB transaction detail** for Salary Expense, Computer/Internet, and Professional Fees to identify all misclassified contractor payments. This closes the $753,801 gap.
2. **Confirm classification** of the 7 items in Part C of the Classification Analysis.
3. **Recode QB** to move service delivery W-2 labor to COGS going forward (work with bookkeeper).

Short-Term (30–90 days)

1. **Increase recurring revenue** — at 34.8% of total, PulseOne is heavily dependent on project/non-recurring revenue. BIC target is 60%+. Each $100Kofmanagedservicesrevenueconvertedfromprojectrevenueadds$ 50K in gross profit at BIC margins.
2. **Review service delivery labor efficiency** — at ~35–38% of revenue, delivery labor is the primary margin driver. Benchmark utilization rates and identify underutilized technicians.
3. **Evaluate partner compensation normalization** — $423Kinpartnercompon$5.2M revenue is 8.2%. BIC-normalized this is reasonable, but the cash draw is constraining reinvestment.

Medium-Term (90–180 days)

1. **Pricing review** — if gross margin is truly ~44%, there is likely a pricing gap. BIC MSPs at 50%+ gross margin have either higher rates, better agreement structures, or lower delivery labor costs.
2. **SG&A rationalization** — even after reclassification, SG&A at ~37% of revenue is above BIC target of 25–30%. Identify the largest controllable SG&A items.

This document is preliminary and will be updated once Paul confirms the classification questions in Part C of the Classification Analysis.